

PROJECT EMBER

Confidential Information Memorandum

Cascade Outdoor Brands

Consumer Products | Outdoor & Active Lifestyle Hardgoods

Harris Williams | April 2024

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Executive Summary

Cascade Outdoor Brands ("Cascade" or the "Company") is a premium designer and manufacturer of technical outdoor hardgoods — principally tents, backpacking shelters, and ultralight cookware — sold under two owned brands: Ridgeline (mid-market, \$95 ASP) and Summit Series (premium, \$285 ASP). Founded in 2009 by two former REI product managers, Cascade sells through a diversified omnichannel mix: DTC e-commerce (44%), specialty outdoor retail (REI, Backcountry, EVO; 38%), and international distributors across 22 countries (18%). The Company sources finished goods from 4 long-term manufacturing partners in Vietnam and Taiwan, complemented by a Colorado-based design and quality team of 28 engineers.

Revenue

\$112M

LTM

EBITDA

\$14.0M

LTM

Margin

12.5%

LTM

DTC Mix

44%

of Revenue

Summit Club

58K

Paying Members

NPS

74

Summit Series

Why Now?

Ridgeline targets weekend campers and trail runners (ASP \$95); Summit Series serves thru-hikers and mountaineers (ASP \$285) | DTC e-commerce grew from 29% to 44% of revenue over 3 years; gross margin 15pp higher than wholesale channel

Key Investment Highlights

1 Two distinct brands spanning mid-market and premium outdoor segments

Ridgeline targets weekend campers and trail runners (ASP \$95); Summit Series serves thru-hikers and mountaineers (ASP \$285) · Summit Series NPS of 74 — top-quintile for outdoor hardgoods; 38% repeat purchase rate driven by gear system cross-sell · Brand separation prevents channel conflict; Ridgeline sold at REI and Target; Summit Series exclusively at specialty and DTC

2 DTC-led omnichannel driving margin expansion and direct customer relationships

DTC e-commerce grew from 29% to 44% of revenue over 3 years; gross margin 15pp higher than wholesale channel · Email list of 640K subscribers; LTV/CAC of 4.2x — industry-leading efficiency driven by community UGC flywheel · Subscription loyalty program ("Summit Club") with 58K paying members at \$49/yr; 91% year-1 retention

3 Proprietary material innovation with 3 patents and 2 pending

AeroShield™ fabric technology (2 patents): 22% lighter than competitive Dyneema composites at comparable strength; used in Summit Series shelters · HexLite™ cookware alloy (1 patent): 18% lighter than titanium with equivalent heat distribution; \$3.2M in royalty-bearing licenses to 2 OEM brands · 2 pending patents in modular tent pole systems; R&D spend of 4.2% of revenue — 2x category average

4 International momentum with underpenetrated distribution in high-growth markets

International revenue +34% YoY, led by Germany, Japan, and Australia; 22 distributor relationships in place · Japan distributor (Ishimoto Trading) pursuing DTC subsidiary joint venture — projected \$4M incremental revenue in Year 1 · EU market regulatory hurdles cleared in 2023; full Ridgeline range now CE-certified and available in 14 EU markets

Company Overview

Founded 2009	HQ Denver, CO	Employees ~390
SKUs ~340 active	Avg. DTC Order \$187	NPS 74 (Summit Series)

Company Timeline

2009	2013	2016	2019	2022	2024
Founded in Denver, CO by REI product managers; launched Ridgeline brand	Launched Summit Series; received first REI co-op purchase order	Crossed \$40M revenue; launched DTC e-commerce; expanded to 8 countries	Filed AeroShield™ patent; launched Summit Club subscription loyalty program	Crossed \$100M revenue; DTC surpassed wholesale for first time; expanded to 22 countries	Initiated sale process with Harris Williams; Summit Series brand awareness at 31% among core outdoor enthusiasts

Products & Brands

Summit Series Tents

Ultralight backpacking and mountaineering shelters using AeroShield™; ASP \$285; 100% DTC and specialty retail

Ridgeline Tents

Mid-market 3-season and 4-season shelters; ASP \$95; REI, Target, and regional outdoor chains

HexLite™ Cookware

Ultralight cookware system; ASP \$120; sold under Summit Series brand; 2 OEM licensing agreements

Accessories & Apparel

Packs, gaiters, base layers (sourced); ASP \$65; primarily DTC cross-sell to existing customers

Market Opportunity

Market Segment	Total Size	Competitive Context	Revenue Mix
US Specialty Outdoor	\$4.2B	REI + specialty; Cascade est. 2.7% share	38%
US DTC / E-commerce	\$2.1B	Growing; Cascade DTC fastest-growing channel	44%
EU Outdoor Retail	\$6.8B	CE-certified 2023; underpenetrated	11%
Asia-Pacific	\$3.5B	Japan JV in diligence; high ASP appetite	7%

Combined addressable market: \$4.2B (primary segment) — see detail above

Competitive Landscape

Key Differentiators vs. Peers

	Cascade Outdoor Brands	Competitor A	Competitor B	Competitor C
Revenue Scale	★★★★★	★★★★☆	★★★★☆	★★★★☆
EBITDA Margin	★★★★☆	★★★★☆	★★★★☆	★★★★☆
Geographic Reach	★★★★★	★★★★☆	★★★★★	★★★★☆
Technology / IP	★★★★★	★★★★☆	★★★★☆	★★★★☆
Customer Retention	★★★★★	★★★★☆	★★★★☆	★★★★☆
Growth Rate	★★★★★	★★★★☆	★★★★☆	★★★★☆

Business Model & Channel Strategy

DTC E-Commerce

Direct Ridgeline + Summit Series; \$187 avg. order; 38% repeat rate; 640K email list

Specialty Retail

REI, Backcountry, EVO, MEC; consignment at REI; sell-through model at others

International Distributors

22 countries; 4 regional master distributors; Japan pursuing JV for DTC

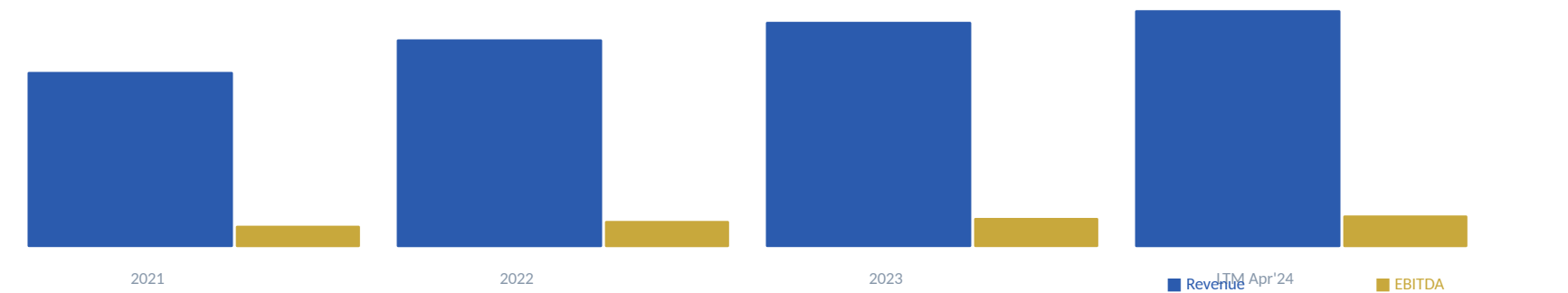
OEM / Licensing

HexLite™ royalties from 2 OEM brands; \$3.2M ARR at 90%+ margin

Historical Financial Performance

(\$M)	2021	2022	2023	LTM Apr'24
Revenue	82.5	98.1	106.4	112.0
Adj. EBITDA	9.1	11.4	12.8	14.0
EBITDA Margin (%)	11.0%	11.6%	12.0%	12.5%
Net Income	4.2	5.8	7.1	8.9

Revenue & EBITDA Trend



Financial Projections

(\$M)	2025E	2026E	2027E
Revenue	126.0	143.5	164.0
Adj. EBITDA	16.8	20.4	24.6
EBITDA Margin (%)	13.3%	14.2%	15.0%

Key Projection Assumptions

Ridgeline targets weekend campers and trail runners (ASP \$95); Summit Series serves thru-hikers and mountaineers (ASP \$285)

DTC e-commerce grew from 29% to 44% of revenue over 3 years; gross margin 15pp higher than wholesale channel

AeroShield™ fabric technology (2 patents): 22% lighter than competitive Dyneema composites at comparable strength; used in Summit Series shelters

Indicative Capital Structure & Valuation

((\$M unless otherwise noted))

Sources	\$M
New First Lien Term Loan	85.0
Sponsor Equity	72.0
Mgmt Rollover	8.5
Total Sources	165.5

Valuation Reference

Metric	Implied Multiple	Peer Range
EV / LTM Revenue	1.6x	1.3x – 2.2x
EV / LTM EBITDA	12.5x	10.0x – 15.0x
EV / 2025E EBITDA	10.4x	9.0x – 13.0x
EV / 2025E Revenue	1.4x	1.1x – 1.9x

Transaction Process & Advisor Contacts

Process Timeline

Phase I – Teaser / NDA ~32 parties contacted; 18 NDAs signed	Mar – Apr 2024
Phase II – Management Presentations 14 management presentations; 9 first-round bids	May – Jun 2024
Phase III – Final Bids / Diligence 5 final bids received; exclusivity to be granted	Jun – Jul 2024
Signing & Closing HSR clearance expected; standard regulatory filings	Q3 2024 (est.)

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